

2023-P00053D

**AMENDMENT NO. 4
TO THE
ENERGY STORAGE SERVICES AGREEMENT
BETWEEN
CLEAN FLEXIBLE ENERGY LLC
AND
THE PUERTO RICO ELECTRIC POWER AUTHORITY**

This Amendment No. 4 to the Energy Storage Services Agreement for Salinas (this "**Amendment**") is entered into as of July 10, 2023 (the "**Fourth Amendment Effective Date**"), by and between the Puerto Rico Electric Power Authority ("**PREPA**") and Clean Flexible Energy LLC (the "**Resource Provider**"). PREPA and Resource Provider are herein individually referred to as a "**Party**" and collectively referred to as "**Parties**." All capitalized terms used in this Amendment and not otherwise defined shall have the meaning given to them in the Agreement (defined below).

RECITALS

WHEREAS, the Parties entered into that certain Energy Storage Services Agreement, dated August 26, 2022 (the "**Agreement**"), which provided two hundred forty (240) Days to reach the Closing Date;

WHEREAS, the Parties entered into that certain Amendment No. 1 to the ESSA, dated March 17, 2023 (the "**First Amendment**"), which provided for an additional sixty (60) Days to reach the Closing Date;

WHEREAS, the Parties entered into that certain Amendment No. 2 to the ESSA, dated June 15, 2023 (the "**Second Amendment**"), which extended the Closing Date to June 30, 2023;

WHEREAS, the Parties entered into that certain Amendment No. 3 to the ESSA, dated June 30, 2023 (the "**Third Amendment**"), which extended the Closing Date to July 10, 2023; and

WHEREAS, the Parties now desire to amend certain provisions of the Agreement in accordance with the terms of this Amendment,

NOW, THEREFORE, in consideration of the mutual promises, covenants and agreements set forth herein and for other good and valuable consideration the receipt and sufficiency of which are hereby acknowledged, the Parties hereto, intending to be legally bound, hereby agree as follows:

SECTION A. Amendments

1. In Section 1.1 (*Definitions*), the following defined terms and their corresponding definitions are hereby deleted from such section: "**Best and Final Offer**", "**Best Interests Determination**", "**Conditions Precedent**", "**ITC Period**", "**ITC-Related Net Losses**", "**ITC Renewable Energy Charging Requirement**", "**Opt-Out Date**", "**PPOA Closing Date**", "**PPOA Excused Event**", "**PPOA Outage**" and "**Revitalization Coordinator**".
2. In Section 1.1 (*Definitions*), the following defined terms and their corresponding definitions are hereby added in alphabetical order within such section:

"**Conditions Subsequent**" has the meaning set forth in paragraph (b) of Section 2.3 (*Initial Effectiveness, Closing Date & Conditions Subsequent*).



"Conditions Subsequent Deadline" has the meaning set forth in paragraph (b) of Section 2.3 (*Initial Effectiveness, Closing Date & Conditions Subsequent*).

"DSM" has the meaning set forth in Section 2 of Appendix L (*Operating Procedures*).

"Satisfaction of Conditions Subsequent" has the meaning set forth in paragraph (b) of Section 2.3 (*Initial Effectiveness, Closing Date & Conditions Subsequent*).

"V" means volts.

3. In Section 1.1 (*Definitions*), the following defined terms and corresponding definitions are hereby amended and restated in their entirety:

"Agreement Year" means each period of twelve (12) consecutive Months, provided that (i) the first such period shall begin on the Commercial Operation Date, (ii) each such subsequent year shall begin on the corresponding anniversary of the Commercial Operation Date, and (iii) the last such period shall expire at the end of the Supply Period.

"Charge Source" means, for each Charge Notice, either (i) a Co-Located Renewable Energy Resource, or (ii) the Grid System, as PREPA may elect in such Charge Notice at its sole discretion.

"Expedited Permitting Process" means either (i) the permitting process for Critical Projects set forth in Title V of PROMESA or (ii) the expedited permitting process established under Act 76-2000.

"Grid System Event" means any condition in the Grid System or act or omission of PREPA that prevents or impairs PREPA from (i) making Charge Energy available at the Interconnection Point while the Facility operates in Charge Mode, or (ii) taking delivery of Discharge Energy or Ancillary Services made available by Resource Provider at the Interconnection Point while the Facility operates in Discharge Mode, including (a) any curtailment, reduction, or disconnection instructions issued by PREPA in a Dispatch Notice or Charge Notice issued by PREPA (or otherwise) for any reason, including as a result of low demand for electricity in the Commonwealth of Puerto Rico and including any instruction from T&D Operator preventing Resource Provider from reconnecting, or (b) any condition in the Grid System (including an Emergency affecting such system) that causes or may cause physical damage to the Facility or life endangerment, and any damage to or the tripping of protection relays installed in the Facility with settings as instructed by PREPA, but in each case excluding any such event resulting from Force Majeure affecting Resource Provider or a PREPA Risk Event pursuant to paragraphs (a), (c), (d) and (e) of such definition.

"Guaranteed Commercial Operation Date" means the second (2nd) anniversary of the Satisfaction of Conditions Subsequent, as adjusted in accordance with Section 3.4 (*Extensions of Time*).

"Interest" means the compensation for the accrual of monetary obligations under this Agreement computed Monthly and prorated daily from the time each such obligation becomes past due based on an annual interest rate equal to the lesser of: (i) (a) for payments made during the first five (5) Days after such a payment becomes due, in each case, the Prime Commercial Lending Rate as set by Citibank NA., New York, New York or any

other bank as mutually agreed by the Parties or any other equivalent rate as mutually agreed by the Parties (for the purposes of this definition, the "Prime Rate"), and (b) for payments made beginning on the sixth (6th) Day after such a payment is due, the Prime Rate plus five percent (5%); and (ii) the maximum rate allowable under Article 1169 of the Puerto Rico Civil Code or successor statute applicable to past due amounts. The provisions of this definition shall not be construed to limit the applicable rate of interest on the project debt.

"Non-Refundable Fee" means a non-refundable fee of four hundred ninety three thousand three hundred fifty six dollars and fifty one cents (\$493,356.51), which (i) partially offsets PREPA's cost to conduct a System Impact Study and a Facility Study of all proposals in the RFP process, including the proposal submitted by Resource Provider in response to the RFP, and (ii) has been determined by dividing the total cost of such studies proportionally among the proposals expected at the time of this Agreement to result in a fully effective agreement with PREPA based on the installed kW capacity of such proposals.

"PREPA Interconnection and System Upgrade Cost" means PREPA's estimate of the cost of the PREPA Interconnection Facilities Works, as notified by PREPA to Resource Provider in accordance with the Facility Study and the System Impact Study.

"Resource Provider Execution Date" means August 26, 2022.

4. Section 2.3 (*Initial Effectiveness & Closing Date*) of the Agreement is hereby amended and restated in its entirety to read as follows:

2.3 Initial Effectiveness, Closing Date & Conditions Subsequent

- a. The rights and obligations of the Parties under Article 1 (*Definitions & Interpretation*), this Article 2, Section 3.6 (*Exchange of Information*), Section 3.7 (*Cooperation*), Article 11 (*Liability*), Article 12 (*Representations, Warranties, & Covenants*), Article 14 (*Force Majeure*), Article 15 (*Termination*), Article 19 (*Assignment & Transfer*), Article 20 (*Notices*), Article 21 (*Dispute Resolution*) and Article 22 (*Miscellaneous Provisions*), shall enter into full force and effect on the Agreement Date (collectively, the **"Agreement Date Obligations"**). Subject to the Agreement Date Obligations, the remaining provisions of this Agreement shall become effective on July 10, 2023 (the **"Closing Date"**).
- b. Each Party shall satisfy their respective conditions subsequent set out in Part 1 and Part 2 of Appendix C (*Conditions Subsequent*) (collectively with the conditions set out in Part 3 of such Appendix C, the **"Conditions Subsequent"**), and Resource Provider shall use commercially reasonable efforts to satisfy limb (b) of Part 3 of Appendix C, promptly after the Closing Date, and in any event shall satisfy such conditions no later than the date (the **"Conditions Subsequent Deadline"**) of the earlier to occur of (i) ten (10) Business Days after satisfaction of the Conditions Subsequent set out in Part 3 of Appendix C and (ii) November 30, 2023. The Parties shall jointly sign a certificate, in the form set forth in Appendix S (*Form of Conditions Subsequent Certificate*), within five (5) Business Days after the occurrence of the satisfaction and/or waiver of all Conditions Subsequent (the **"Satisfaction of Conditions Subsequent"**). Resource Provider shall maintain the Bid Security in full force and effect, and otherwise in accordance with the requirements of the RFP until the date of the Satisfaction of Conditions Subsequent.

- c. If the Satisfaction of Conditions Subsequent fails to occur by November 30, 2023, then (i) this Agreement shall automatically terminate at midnight on such Day without either Party incurring liability to the other Party, and (ii) PREPA shall return the Bid Security to Resource Provider, provided that in the event that either Resource Provider (1) has breached any obligations or incurred any other liability to PREPA in accordance with this Agreement, or (2) has not satisfied the Conditions Subsequent set out in Part 1 of Appendix C (*Conditions Subsequent*) but the satisfaction of the Conditions Subsequent set out in Part 2 and Part 3 of Appendix C has occurred: (A) this Agreement shall instead terminate in accordance with paragraph (c) of Section 15.1 (*Termination Date*), and (B) PREPA shall have the right to retain, and draw on the full face amount of, the Bid Security upon the occurrence of such termination.
5. In paragraph (a) of Section 2.5 (*Performance Security*) of the Agreement, the phrase "condition precedent" is hereby replaced with "Condition Subsequent".
6. Section 3.1 (*Consulting Technical Expert*) of the Agreement is hereby amended and restated in its entirety to read as follows:



No later than thirty (30) days after the Satisfaction of Conditions Subsequent, PREPA (or T&D Operator acting as PREPA's agent) shall consult with Resource Provider and appoint an engineer (the "Consulting Technical Expert") to review technical matters, issue non-binding technical recommendations, assist in the resolution of technical issues, and monitor the works undertaken by, or on behalf of, Resource Provider (i) for the design, construction and commissioning of the Facility, and (ii) the operation of the Facility during the Supply Period. PREPA may designate different Consulting Technical Experts for different purposes under this Agreement. Any Consulting Technical Expert's staff shall include suitably qualified engineers and other professionals who possess the competence to carry out such duty. The Consulting Technical Expert shall verify that Resource Provider complies with this Agreement and conduct reviews of works performed by, or on behalf of, Resource Provider in accordance with Appendix I (*Progress Review*). Resource Provider shall consider all non-binding technical recommendations issued by the Consulting Technical Expert in order to comply with the requirements of this Agreement during the Pre-Operation Period. Whenever carrying out its duties in accordance with this Agreement, the Consulting Technical Expert shall act independently.

7. Paragraph (d) of Section 3.2 (*Resource Provider's Development Obligations*) of the Agreement is hereby amended and restated in its entirety to read as follows:
- d. Resource Provider shall duly and properly apply for any required Permits for the siting and construction of the Facility using an Expedited Permitting Process or other permitting processes as may be available as soon as practicable following the occurrence of the Closing Date. Resource Provider shall exercise, and continue to exercise, diligent efforts to pursue and obtain such Permits. Resource Provider shall inform PREPA if it becomes aware or reasonably expects that it will not obtain a material Permit by the date or timeline required under this Agreement.



8. In Section 3.7 (*Cooperation*) of the Agreement:
- a. Clause (i) is hereby replaced with “control of, or other required access and rights to, the real property upon which the Facility will be located, including rights-of-way, easements, and similar access rights for the interconnection of the Facility,”; and
 - b. the final sentence is hereby replaced with “Notwithstanding anything in this Agreement to the contrary, Resource Provider shall remain solely responsible for obtaining the items set out in clauses (i) to (iii) of this Section 3.7 in connection with the Facility (and excluding, for clarity, any items in connection with the PREPA Interconnection Facilities Work).”
9. Paragraph (f) of Section 4.1 (*Proposed Design*) of the Agreement is hereby amended and restated in its entirety to read as follows:
- f. Resource Provider shall not, without PREPA’s written consent, commence construction of the Facility until the Parties have agreed on an Approved Design; provided that Resource Provider may, at its risk, order long-lead equipment for the Facility prior to the Parties agreeing on the Approved Design.
10. Section 9.6 (*Improvement in PREPA’s Financial Condition*) of the Agreement is hereby amended and restated in its entirety to read as follows:

9.6 Improvement in Financial Conditions

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- a. Following PREPA’s emergence from the PREPA Bankruptcy, if Resource Provider enters into any refinancing, or obtains financing on more favorable terms than anticipated prior to the signing of this Agreement, the Parties shall cooperate and discuss in good faith an adjustment to the Capability Payment Price to share the benefit of any savings accruing to Resource Provider from such refinancing.
 - b. If Resource Provider would qualify for and obtain loans, credit support, guarantees or other support from the United States Department of Energy (collectively, “**DOE Funding**”) but for specific provisions of this Agreement that may be amended to enable Resource Provider to qualify for DOE Funding, and such amendments are consistent with those that have been approved and agreed by the United States Department of Energy and a Governmental Authority of Puerto Rico, then PREPA shall cooperate with Resource Provider to negotiate and agree on amendments to this Agreement reasonably required to enable Resource Provider to qualify for DOE Funding, which amendments would come into effect if DOE Funding is actually obtained. If such DOE Funding would result in more favorable debt or equity financing terms than were anticipated prior to the signing of this Agreement (assuming no such DOE Funding would have been achieved in the absence of amendments agreed upon pursuant to this subparagraph) and if DOE Funding is actually obtained, then Resource Provider shall cooperate in good faith with PREPA to negotiate and agree on amendments reasonably required to reflect an adjustment to the Capability Payment Price to share the benefit of any savings accruing to Resource Provider as a consequence of its qualification for and obtaining such DOE Funding.
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- c. For the avoidance of doubt, the Parties shall only amend this Agreement in accordance with this Section 9.6 (*Improvement in Financial Conditions*) if mutually agreed by the Parties in their sole discretion.
11. Paragraph (a) of Section 12.4 (*PREPA Representations and Warranties*) of the Agreement is hereby amended to end with “, other than as regards the Conditions Subsequent set out in Part 3 of Appendix C (*Conditions Subsequent*);”
12. The phrase “(including Change of Law)” is hereby inserted after the words “act of any Governmental Authority” in clause (i) of Section 14.2 (*Instances of Force Majeure*).
13. Paragraph (d) of Section 15.1 (*Termination Date*) of the Agreement is hereby amended and restated in its entirety to read as follows:
- d. the inability of the Parties to satisfy Part 2 or Part 3 of Appendix C (*Conditions Subsequent*) by the date required under paragraph (c) of Section 2.3 (*Initial Effectiveness, Closing Date & Conditions Subsequent*);
14. Paragraph (c) of Section 16.1 (*Definition*) of the Agreement is hereby amended and restated in its entirety to read as follows:
- c. for Resource Provider as the defaulting Party only, (i) default by Resource Provider in the observance or performance of any covenant contained in Section 2.5 (*Performance Security*), or (ii) if the Conditions Subsequent set out in Part 2 and Part 3 of Appendix C (*Conditions Subsequent*) have occurred, then default by Resource Provider in satisfying its Conditions Subsequent in Part 1 of Appendix C by the Conditions Subsequent Deadline, in each case where such default continues uncured for a period of at least thirty (30) Days after the date on which Resource Provider receives written notice from PREPA of such failure;
15. In the first sentence of paragraph (f) of Section 18.3 (*Contractor Requirements*) of the Agreement, the phrase “prime contractors” is hereby replaced with “prime contractors for the Facility”.
16. Section 18.6 (*General Provision*) of the Agreement is hereby amended and restated in its entirety to read as follows:

18.6 General Provision

- a. Subject to paragraph (b) below, PREPA shall review the requirements of this Article 18 prior to the Construction Start Date to confirm that an insurance company meeting the requirements of this Article 18 continues to make available policies satisfying the foregoing requirements. Each of Resource Provider, its contractors and subcontractors shall cause its insurers or agents to provide, not later than ten (10) Business Days prior to the Construction Start Date, with originals or certified true and correct copies of insurance certificates for such policies (which have entered into full force and effect), in a form of certificate approved by PREPA, which approval PREPA shall not unreasonably withhold or delay. Any deductible applicable on required insurance policies under this Article 18 shall be paid by the Resource Provider, its contractors, or subcontractors. Failure of a party to obtain certificates of insurance does not relieve the Resource Provider, contractor or subcontractor of the insurance requirements set forth

herein. Failure to obtain the insurance coverage required by this Article 18 shall in no way relieve or limit the obligations or liabilities of Resource Provider, contractor or subcontractor under this Agreement.

- b. Notwithstanding the foregoing, in the event any insurance (including the limits or deductibles thereof) required to be maintained by this Article 18, other than insurance required to be maintained by Law, is not available on commercially reasonable terms in the commercial insurance market, PREPA (acting upon consultation with an independent insurance consultant), shall not unreasonably withhold or delay its agreement to waive (or modify) such requirement to the extent the required insurance is not so available and/or, to the extent feasible, may allow Resource Provider (or the Project, as applicable) to obtain the best available insurance comparable to insurance meeting the requirements of this Article 18 on commercially reasonable terms then available in the commercial insurance market (as determined by an independent insurance consultant); provided that (i) Resource Provider shall first request any such waiver (or modification) in writing, which request shall be accompanied by written reports prepared by Resource Provider and an independent insurance consultant, reasonably satisfactory to PREPA, certifying that such insurance is not available on commercially reasonable terms in the commercial insurance market for solar energy generation projects of similar type and capacity (and, in any case where the required amount is not so available, certifying as to the maximum amount which is so available) and explaining in detail the basis for such conclusions, with the form and substance of such reports to be reasonably satisfactory to PREPA; (ii) at any time after the granting of any such waiver (or modification), but not more often than once annually, PREPA may request, and Resource Provider shall furnish to PREPA within fifteen (15) days after such request, supplemental reports satisfactory to PREPA updating the prior reports and reaffirming such conclusion; and (iii) any such waiver (or modification) shall be effective only for so long as such insurance shall not be available on commercially reasonable terms in the commercial insurance market (as determined by an independent insurance consultant), it being understood that the failure of Resource Provider to timely furnish any such supplemental report shall be conclusive evidence that such waiver (or modification) is no longer required because such condition no longer exists.

17. Section 19.2 (*PREPA's Right to Assign*) of the Agreement is hereby amended and restated in its entirety to read as follows:

Notwithstanding the provisions of Section 19.1 (*Restriction on Assignment*), the Parties acknowledge that PREPA is undergoing a transformation process, and therefore agree that, after the front-end transition period of a Partnership Contract, Sale Contract, or any other PREPA Transaction (as these terms are defined in Act 120-2018), PREPA may sell, assign, convey, transfer, pledge, mortgage, sublease, delegate, hypothecate, or otherwise dispose of (each, a "Transfer") any of its rights, title, or interest in this Agreement as permitted by Applicable Law and at any time, without Resource Provider's consent, and without cost, expense, or incremental liability to PREPA, to an Affiliate of PREPA or any Governmental Authority of Puerto Rico financially, legally and operationally capable of performing all of PREPA's payment and performance obligations under this Agreement; provided that PREPA shall notify Resource Provider no later than thirty (30) Days before the effective date of any such Transfer. Unless otherwise agreed by PREPA, following a Transfer to one of the entities described in the previous sentence, PREPA shall be released from all

obligations under this Agreement to the extent such transferee assumes such obligations in writing, provided that, for any Transfer to an Affiliate of PREPA, PREPA shall guarantee the payment obligations of such Affiliate arising out of this Agreement following such assignment.

18. Appendix C (*Conditions Precedent*) of the Agreement is hereby amended and restated in its entirety as shown by Annex B attached hereto.
19. Appendix D (*Milestone Schedule*) of the Agreement is hereby amended and restated in its entirety as shown by Annex C attached hereto.
20. Section 2 (*Monthly Fixed Payment*) of Appendix F (*Compensation*) of the Agreement is hereby amended and restated in its entirety to read as follows:

2. Monthly Fixed Payment

For each Billing Period “n”, the Parties shall calculate the monthly fixed payment for such Billing Period (the “**Monthly Fixed Payment**” or “**MFP_n**”) as follows:

$$\text{MFP}_n = \text{CPP} \times \text{MCC}_n \times \text{FAA}_n \times \text{PRA}_n$$

where:

CPP = the Capability Payment Price for such Billing Period, which the Parties shall calculate as follows:

$$\text{CPP} = \text{CPPF} + \text{CPPPIF}$$

where:

CPPF = an amount to compensate Resource Provider for the cost of the Project, other than the cost of the PREPA Interconnection Facilities Work, and subject to any adjustment in accordance with Section 9.6 (*Improvement in Financial Conditions*) or paragraph (b) of Section 17.1 (*Change of Law*), being the amount set out in the column captioned “CPPF (\$/MW-Month of MCC)” that corresponds to the applicable Agreement Year:

Agreement Year	CPPF (\$/MW-Month of MCC)
1	\$24,396.00
2	\$24,883.92
3	\$25,381.60
4	\$25,889.23
5	\$26,407.01
6	\$26,935.16
7	\$27,473.86
8	\$28,023.34
9	\$28,583.80
10	\$29,155.48

Agreement Year	CPPF (\$/MW-Month of MCC)
11	\$29,738.59
12	\$30,333.36
13	\$30,940.03
14	\$31,558.83
15	\$32,190.00
16	\$32,833.80
17	\$33,490.48
18	\$34,160.29
19	\$34,843.50
20	\$35,540.37
21	\$36,251.17
22	\$36,976.20
23	\$37,715.72
24	\$38,470.03
25	\$39,239.44

CPPPIF = an amount to compensate Resource Provider for the cost of the PREPA Interconnection Facilities Work, being the amount set out in the column captioned "CPPPIF (\$/MW-Month of MCC)" that corresponds to the applicable Agreement Year:

Agreement Year	CPPPIF (\$/MW-Month of MCC)
1	\$1,200.00
2	\$1,224.00
3	\$1,248.48
4	\$1,273.45
5	\$1,298.92
6	\$1,324.90
7	\$1,351.39
8	\$1,378.42
9	\$1,405.99
10	\$1,434.11
11	\$1,462.79
12	\$1,492.05
13	\$1,521.89
14	\$1,552.33
15	\$1,583.37
16	\$1,615.04
17	\$1,647.34
18	\$1,680.29
19	\$1,713.90
20	\$1,748.17
21	\$1,783.14
22	\$1,818.80

Agreement Year	CPPPIF (\$/MW-Month of MCC)
23	\$1,855.18
24	\$1,892.28
25	\$1,930.12

provided that, if the Estimated Cost exceeds the Contracted Cost (each, as defined in the PPOA), the CPPPIF shall be downwardly adjusted by the ratio that the Contracted Cost bears to the Estimated Cost;

- MCC_n** = Monthly Contract Capability for such Billing Period as adjusted in accordance with Section 3 (*Monthly Contract Capability*) of this Appendix F;
- FAA_n** = Facility Availability Adjustment for such Billing Period, determined pursuant to Section 4 (*Facility Availability*) of this Appendix F; and
- PRA_n** = PREPA Risk Adjustment for such Billing Period, determined pursuant to Section 5 (*PREPA Risk Adjustment*) of this Appendix F.
21. In Section 2 (*Interconnection Point Specifications*) of Appendix H (*Interconnection Description and Specifications*):
- the third sentence of the first paragraph is hereby replaced with "The Facility Study and System Impact Study shall determine the design as described in Article 3 (*Pre-Operation Period*) and may modify the single line set out in Appendix H-1 (*Electrical Interconnection Single Line*)"; and
 - the phrase "the following design criteria documents" in paragraph (a)(1) is hereby replaced with "the following PREPA design criteria documents or T&D Operator's equivalent documents".
22. Appendix J (*Operating Characteristics*) of the Agreement is hereby amended and restated in its entirety as shown by **Annex D** attached hereto.
23. Appendix S (*Form of Conditions Precedent Certificate*) of the Agreement is hereby amended and restated in its entirety as shown by **Annex E** attached hereto.
24. In paragraph 3 of Annex A (*Form of Drawing Certificate*) of Appendix V (*Form of Performance Security*) of the Agreement, the phrase "twenty-one (21) calendar days" is hereby replaced with "twenty-eight (28) calendar days" to comply with Section 2.5 (*Performance Security*) of the Agreement.
25. In Appendix AA (*Form of Payment Guarantee*) of the Agreement,
- the phrase "conditions precedent for its effectiveness" in Recital B is hereby replaced with "conditions subsequent"; and
 - the phrase "Closing Date" in Sections 1.2, 3.1, and 4.7 is hereby replaced with "Satisfaction of Conditions Subsequent".
26. Throughout the Agreement:
- references to "Change-of-Law" are hereby replaced with "Change of Law";

- b. references to “Conditions Precedent” are hereby replaced with “Conditions Subsequent”;
 - c. the phrases “including but not limited to”, “including without limitation” and similar grammatical variants are hereby replaced with “including”, consistent with paragraph (e) of Section 1.2 (*Rules of Interpretation*);
 - d. the phrase “responsible of” is hereby replaced with “responsible for”;
 - e. references to “the Resource Provider” or “the Resource Provider’s” as a Party are hereby replaced with “Resource Provider”, and reference to “Resource Provider’s Interconnection Facilities” is replaced with “Resource Provider Interconnection Facilities”; and
 - f. references to “Closing Date” are hereby replaced with “Satisfaction of Conditions Subsequent” in paragraph (e) of Section 3.2 (*Resource Provider’s Development Obligations*), Section 3.9 (*Protocols & Procedures*), paragraph (a) of Section 4.1 (*Proposed Design*) and Section 10.5 (*Payment Method*).
27. To address changes in the ITC regulatory regime following the enactment of the Inflation Reduction Act of 2022:

- a. the parenthetical “(which, for the ITC Period, shall only include the Co-Located Renewable Energy Resource, and after the ITC Period, may include either such resource or the Grid System)” in paragraph (a) of Section 7.3 (*Charging*) is hereby deleted;
- b. the parenthetical “(other than the ITC Period)” in paragraph (a) of Section 7.4 (*Charge Energy Obligations*) is hereby deleted;
- c. the entirety of Section 7.8 (*Termination of the PPOA for PREPA’s Default during the ITC Period*) is hereby deleted;
- d. the table set out in paragraph (a) of Section 4 of Appendix F (*Compensation*) is hereby amended and restated in its entirety to read as follows:

FA (%)	FAA
Greater than or equal to ninety-eight percent (98%)	One hundred percent (100%)
Less than ninety-eight percent (98%) but greater than seventy percent (70%)	One hundred percent (100%) – [(ninety-eight percent (98%) – FA)] x two (2)
Less than seventy percent (70%)	Zero percent (0%)

- e. the definition of UNAVHRSn of paragraph (b) of Section 4 of Appendix F (*Compensation*) is hereby amended and restated in its entirety to read as follows:

UNAVHRSn = total number of hours in which the Facility was unavailable to deliver Adjusted Duration Energy or unable to accept Charge Energy during the Billing Period due to (A) a Non-Scheduled Outage or Non-Scheduled Derating; (B) an extension of a Scheduled Outage or Scheduled Derating from its original schedule that was not notified to and approved by PREPA in accordance with Section 6.3 (*Scheduled Maintenance*); or (C)

Resource Provider declaring the Facility unavailable, in whole or in part, for any hour or part of an hour, for any reason other than an event that counts toward POHRSn, provided that (i) an event described in (A) through (C) above that involves a Non-Scheduled Derating of the Facility shall result in unavailability of the Facility only to the extent that the Facility is unavailable to deliver Adjusted Duration Energy or unable to accept Charge Energy, as applicable, as a result of such event, with such Facility unavailability determined based on the difference between the standard of performance for the Facility required in accordance with the Agreement and the actual performance of the Facility during such event; and (ii) if the Facility is unavailable for less than a full hour, the unavailability will count as an equivalent percentage of the applicable hour;

SECTION B. Representations and Warranties

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1. PREPA hereby represents and warrants to Resource Provider that: (a) the execution and delivery by PREPA of this Amendment has been duly authorized by PREPA's Governing Board; and (b) this Amendment is a legal, valid, and binding obligation of PREPA, enforceable against PREPA in accordance with its terms, except as may be limited by applicable bankruptcy, insolvency or similar laws affecting the enforcement of rights generally, and subject to the approvals required by the Conditions Subsequent as defined therein.
 2. Resource Provider hereby represents and warrants to PREPA that: (a) the execution, delivery, and performance by Resource Provider of this Amendment (i) have been duly authorized, (ii) do not and will not require any additional internal consent or approval of Resource Provider and (iii) do not and will not violate any provision of Resource Provider's certificate of formation or operating agreement, or any material indenture, contract or agreement to which it is a party or by which it or its properties may be bound, or any law, ordinance, rule, regulation, order, writ, judgment, injunction, decree, determination or award presently in effect; and (b) this Amendment is a legal, valid and binding obligation of Resource Provider, enforceable against Resource Provider in accordance with its terms, except as may be limited by applicable bankruptcy, insolvency or similar laws affecting the enforcement of rights generally.

SECTION C. Miscellaneous

1. Signing Conditions. Resource Provider shall deliver the documents set out in **Annex A** attached hereto no later than ten (10) Business Days after the Fourth Amendment Effective Date.
2. Information for Controller's Office. PREPA will charge all payments that it owes under the Agreement, as amended by this Amendment, to PREPA's budget account number 01-4042-54710-050-668-0000 and estimates that its costs under the Agreement will not exceed two billion four hundred fifty nine million five hundred forty two thousand six hundred fifty five dollars and fifteen cents (\$2,459,542,655.15). For the avoidance of doubt, the Parties have set out the expected account number and estimate of costs for informational purposes to satisfy the requirements of the Puerto Rico Controller. This paragraph does not bind the Parties or modify any other provision of the Agreement.
3. Headings. The headings in this Amendment are for reference only and do not affect the interpretation of this Amendment.



4. No Implied Waiver. This Amendment shall be limited precisely as written and does not modify any provisions of the Agreement except as specifically amended above. This Amendment shall not be deemed to be a consent granted pursuant to, or a waiver or modification of, any other term or condition of the Agreement, whether or not known to the Parties, or to prejudice any other right or rights which the Agreement may now have or have in the future.
5. Counterparts. This Amendment may be executed in any number of counterparts with the same effect as if both Parties had signed the same document. All counterparts shall be construed together and shall constitute one instrument.
6. Entire Agreement. The Parties intend the Agreement, as amended by this Amendment, as the final expression of their agreement and also as a complete and exclusive statement of the terms of their agreement with respect to the subject matter thereof that supersedes all prior written and oral understandings between the Parties with respect thereto.
7. Governing Law. This Amendment shall be governed by, construed, and enforced in accordance with the Laws of the Commonwealth of Puerto Rico without regard to any contrary result required under applicable conflicts of laws rules. The Parties herein agree that all Disputes arising hereunder shall be resolved pursuant to Article 21 (*Dispute Resolution*) of the Agreement.

[Signatures appear on the following page.]

Confidential

IN WITNESS WHEREOF, the Parties hereto have caused this Amendment to be duly executed by their respective officers as of the date first above written.

PUERTO RICO ELECTRIC POWER AUTHORITY

By: 

Name: Josué A. Colón Ortiz

Title: Executive Director

Tax ID:

CLEAN FLEXIBLE ENERGY LLC

By: 

Name: Jesus Bolinaga

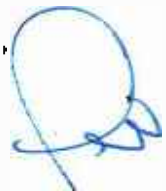
Title: President

Tax ID:

ANNEX A

PREPA SIGNING CONDITIONS

Resource Provider shall provide:

- 
- a. an original certificate of tax status and compliance from the Commonwealth of Puerto Rico for the five (5) previous years, confirming that it does not owe Taxes to the Commonwealth of Puerto Rico or is paying such Taxes by an installment plan in full compliance with its terms;
 - b. an income tax return filing certificate issued by the Treasury Department of Puerto Rico, Area of Internal Revenues assuring that Resource Provider has filed its Income Tax Return for the last five (5) years (obtained by using the Request for Copy and/or Certification of Income Tax Returns Form issued by the Treasury Department of Puerto Rico);
 - c. a certificate of debt issued by the Treasury Department of Puerto Rico, Area of Internal Revenues;
 - d. a certificate issued by the Municipal Revenues Collection Center assuring that Resource Provider does not owe any Taxes to such governmental agency;
 - e. a certificate issued by the Department of Labor and Human Resources of Puerto Rico, evidencing that Resource Provider has paid to the Department of Labor and Human Resources of Puerto Rico, if applicable, its employees' contributions, in accordance with the Puerto Rico Employment Security Act (unemployment, temporary disability or sickness or social security for chauffeurs) or is paying such contributions by an installment plan in full compliance with its terms;
 - f. a certificate issued by the Child Support Administration (ASUME) evidencing that Resource Provider has complied with the retention, if applicable, that an employer must do;
 - g. a sworn and notarized statement, as of the Agreement Date, evidencing compliance with Article 3.3 Act 2-2018, as amended, known as the Anti-Corruption Code for a New Puerto Rico of the Commonwealth of Puerto Rico, as amended, in the form set forth in Appendix Q (*Form of Sworn Statement*);
 - h. a certification, as of the Agreement Date, that, to its actual knowledge, no public employee has any personal or economic interest in this Agreement, under Section 22.11 (*No Economic Interest*);
 - i. a certification, as of the Agreement Date, that, to its actual knowledge, it does not receive payment or benefit of any nature for services rendered regularly through an appointment to a Governmental Authority of Puerto Rico, under Section 22.10 (*Anticorruption & Antibribery*);
- 

- j. if any of the previously required certifications show a debt, and Resource Provider has requested a review or adjustment of this debt, a certification that Resource Provider has made such request at the Agreement Date; and if PREPA denies the requested review or adjustment and such determination is final, proof of payment of this debt to PREPA or confirmation that Resource Provider accepts that PREPA shall offset the owed amount from the corresponding payments;
- k. evidence of Resource Provider's ability to provide Equity at least equal to the sum of (i) thirty percent (30%) of the forecasted costs to develop the Facility and (ii) the PREPA Interconnection Cost by the forecasted date on which Resource Provider will first draw down on funds for such development under the Financing Documents with the Project Lenders;
- l. documents evidencing Resource Provider's ownership and/or control of the Site for the purposes of implementing the Project;
- m. the certification set forth in Appendix R (*Form of FOMB Certification*); and
- n. a certificate, signed by a duly-authorized representative of Resource Provider, in the form set forth in Appendix Z (*Form of Warranty Compliance*).

ANNEX B

APPENDIX C

CONDITIONS SUBSEQUENT

PART 1 - RESOURCE PROVIDER CONDITIONS

As conditions subsequent to the Closing Date, Resource Provider shall deliver the following documents to PREPA in form and substance satisfactory to PREPA:

- a. the Performance Security;
- b. the Payment Guarantee;
- c. appointment of Service of Process Agent;
- d. certified true and correct copy, signed by a duly-authorized representative of Resource Provider, of a wire transfer confirming that Resource Provider has remitted the Non-Refundable Fee to the following account:

Receiving Bank Address: Banco Popular of Puerto Rico

ABA No.:

Beneficiary Name: Puerto Rico Electric Power Authority

Account Number:

Payment Details: Tranche 1 RFP – Non-Refundable Fee

- e. a legal opinion prepared by Resource Provider's external counsel, confirming the warranty made by Resource Provider in item (4), paragraph (a) of Section 12.3 (*Resource Provider Representations & Warranties*); and
- f. the following technical documents:
 - i. a preliminary engineering design of the Facility, consistent with Prudent Utility Practices, the Interconnection Agreement, the Facility Study and System Impact Study, and the MTRs;
 - ii. a proposed relay protection scheme (to include the PREPA Interconnection Facilities and the Resource Provider Interconnection Facilities); and
 - iii. a certified PSS/E mathematical model of the specific facility, the manufacturer's performance data and expected output curve.

PART 2 - PREPA CONDITIONS

PREPA shall satisfy the following as conditions subsequent to the Closing Date:

- a. evidence of filing of this Agreement with the Puerto Rico Controller; and
- b. delivery of a legal opinion prepared by its external counsel in a form reasonably acceptable to Resource Provider, confirming the warranty made by PREPA in paragraph (b) of Section 12.4 (*PREPA Representations & Warranties*).

PART 3 - MUTUAL CONDITIONS

As conditions subsequent to the Closing Date:

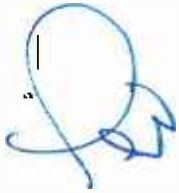
- a. the FOMB shall have approved the execution of this Agreement; and
- b. an executed copy of the Interconnection Agreement (substantially in the form circulated by T&D Operator in February 2023), signed by the parties thereto, provided that such copy will (i) to the extent LUMA's Contracted Cost exceeds the Estimated Cost for interconnection at a PREPA transmission center, not require Resource Provider to pay for such excess and (ii) reflect the final interconnection design and arrangements for the Project agreed by the Resource Provider, PREPA, and T&D Operator.



ANNEX C

APPENDIX D
MILESTONE SCHEDULE

Milestones	Time for Completion / Occurrence	Resource Provider Delay Liquidated Damages (USD Per Day of Delay)
Construction Start	240 Days after Satisfaction of Conditions Subsequent	N/A
Initial Synchronization	540 Days after Satisfaction of Conditions Subsequent	N/A
Commercial Operation	Guaranteed Commercial Operation Date	\$58,603



ANNEX D

APPENDIX J

OPERATING CHARACTERISTICS

I. FACILITY DESCRIPTION

Facility name: Salinas BESS

Site name: Salinas

Facility physical address: Undeveloped land in Aguirre, Pozo Hondo and Jobos Wards (access through PR-53 or PR-3), Salinas Municipality, Puerto Rico

Total number of modules at the Facility: 100 MW

Project elevation: 41 (feet above sea level)

Project latitude: 17.97698735 (decimal form)

Project longitude: -66.21194050 (decimal form)

II. UNIT(S) DESCRIPTION

Units: 43 Cores; each Core consists of 1 Transformer, 1 Inverter, and 12 Cubes

Unit name: Fluence Gridstack™ platform

Battery Technology type: Northvolt NMC

Specific module description: 360S2P battery rack with 12 modules per rack (6 modules in series; 2 modules in parallel) of 30.49 kW Usable Power per module 30.49 kWh Usable Energy per module

Inverter: SMA SCS 3600 UP-US: 3.6 MVA nominal

Battery Power / Energy at Metering Location: 100 MW / 400 MWh

Interconnection Point for the Facility will have characteristics as follows:

Distribution area: Salinas

Existing zone: Salinas

Load zone: Aguirre

Substation: Aguirre TC Substation

Other Charge Point(s) for the Facility will have characteristics as follows:

Distribution area: Salinas

Existing zone: Salinas

Load zone: Aguirre

Substation: Aguirre TC Substation

III. OPERATIONAL CHARACTERISTICS

Discharging and Charging

One hundred percent (100%) State of Charge (SOC) is defined as the highest state of charge to which the Facility can be consistently charged without damage beyond expected degradation from normal use. Zero percent (0%) SOC means the lowest state of charge to which the Facility can be consistently discharged without damage beyond expected degradation from normal use. If Resource Provider normally specifies highest and lowest SOC values differently, Resource Provider should normalize minimum and maximum SOC to zero percent (0%) SOC and one hundred percent (100%) SOC, respectively. Resource Provider should also normalize reporting of energy stored such that the amount of energy stored at zero percent (0%) SOC is 0 MWh and that the energy stored at one hundred percent (100%) SOC is fully available for discharge. Resource Provider will provide details on how the State of Charge is measured and physically indicated. For each characteristic, list the value that the Facility will be designed to have at the Commercial Operation Date.

Design $D^{\max}$: 100 MW

Design $D^{\min}$: 0 MW

Design Discharge Duration: 4 (hours)

Design $D^{\max}$ Duration: 4 (hours)

Design Storage Energy: 400 MWh

Design Duration Energy: 400 MWh [Equals the product of the Design $D^{\max}$ and Design $D^{\max}$ Duration]

Design $C^{\max}$: 100 MW

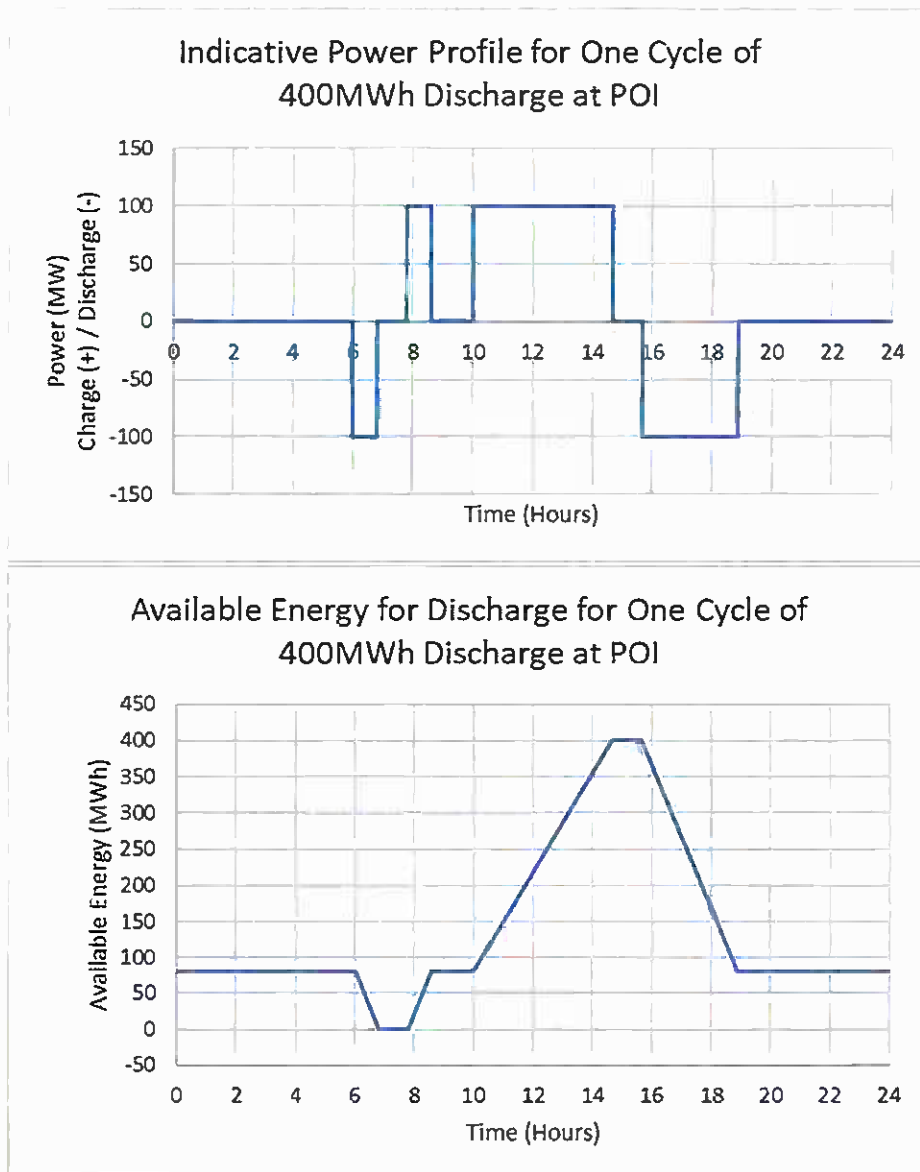
Design $C^{\min}$: 0 MW

Design Charge Duration: 4.68 hours at BOL; longer duration as the battery ages

Design $C^{\max}$ Duration: 4.68 hours at BOL; less duration as the battery ages

Design Charge Energy: 468 MWh at BOL; potentially more as the battery ages

[Power profile of the Facility across a full duty cycle.]



System Efficiency

Total technical loss from battery DC terminal to POI (not including auxiliary consumption): 4.0%
(efficiency 96.0%)

Round Trip Efficiency from POI to battery and back to POI (not including auxiliary consumption): 85%

Stand-by Self Discharge: 1.8% per month with BMS deenergized, BESS not connected to the grid, all controls deenergized, cooling system deenergized, and ambient temperature below 40°C.

BESS Equipment Stand-by Power Consumption:

- For all standby conditions there will be transformer no-load loss estimated at 300kW; includes inverter transformers, auxiliary transformers, and main power transformer.
- BESS non-transformer stand-by power consumption with chiller and HVAC off and controls energized: 300kW.
- If all chillers are working simultaneously and all controls and inverters: 2.6MW.

Ramp Rates

$D^{\min}$ to $D^{\max}$: 6,000 MW/min

$C^{\min}$ to $C^{\max}$: 6,000 MW/min

$D^{\max}$ to $D^{\min}$: 6,000 MW/min

$C^{\max}$ to $C^{\min}$: 6,000 MW/min

System Response Time



[Timing should commence with system at a steady-state starting value and end when system has reached a steady-state ending value. Idle means that the Facility is neither charging nor discharging, but is online and available for immediate operation. Time should include time from notification.]

System Response Time of 1000ms in Grid Following Mode is defined from the time the external party has written dispatch to the RTAC until the inverter output stabilizes at the point of interconnection.

Idle to $D^{\max}$: 1 second

Idle to $C^{\max}$: 1 second

$D^{\max}$ to $C^{\max}$: 1 second

$C^{\max}$ to $D^{\max}$: 1 second

$D^{\min}$ to $C^{\min}$: 1 second

$C^{\min}$ to $D^{\min}$: 1 second

[For the purpose of filling out this Appendix, Discharge (Charge) Start-up time means the amount of time needed to bring the Facility from non-operation to $D^{\min}$ ($C^{\min}$). (The state of non-operation includes but is not limited to being unsynchronized to the grid.) If applicable, provide Start-Up time for each Unit. Provide in seconds if appropriate.]

Discharge and Charge Start-Up times:

- Estimate 10 minutes if BESS is connected to the grid and controls are operational.
 - 30 minutes from blackout assuming non-operation of UPSs for controls.
 - Testing required to confirm startup durations.
- 

Starts and other Run Time Limitations

Start limitations:

Resting time after full power charge: 60 minutes

Resting time after full power discharge: 60 minutes

Resting state of charge of the battery 20%.

Run hour limitations: The offered system is designed to run at one (1) discharge throughput cycle at the Metering Location of 400MWh per day.

Ancillary Services

Equivalent throughput cannot exceed 400MWh per day.

Spinning Reserves: 100 MWs; Range: [+/- 100 MW]

Non-Spinning Reserves: 100 MWs; Range: [+/- 100 MW]

Regulation up: 100 MWs; Range: [+/- 100 MW]

Regulation down: 100 MWs; Range: [+/- 100 MW]

Black start capability (if applicable): The BESS inverters are capable of supporting grid forming applications such as Black Start for certain loads. Supplier to evaluate loads when they are identified by PREPA to determine whether BESS inverters can comply with requirement.

Equivalent Cycle Limitations

An Equivalent Cycle is one or more cycles, for which the cumulative discharge energy is equal to the total Usable Discharge Capacity for a given reference year, accounting for battery degradation. A combination of Partial Cycles totaling the Usable Discharge Capacity MWh discharge is also an Equivalent Cycle.

Set out in the table below is the available power and usable Discharge Energy capacity for the Facility in each Agreement Year (in MW and MWh) ("Usable Energy Capacity at POI"):

Agreement Year	Available Power (MW)	Usable Discharge Energy Capacity at POI (MWh)
0	100	400
1	100	400
2	100	400
3	100	400
4	100	400
5	100	400
6	100	400
7	100	400
8	100	400

9	100	400
10	100	400
11	100	400
12	100	400
13	100	400
14	100	400
15	100	400
16	100	400
17	100	400
18	100	400
19	100	400
20	100	400
21	100	400
22	100	400
23	100	400
24	100	400
25	100	400

The Parties shall count one (1) cycle of the Facility each time the cumulative amount of Discharge Energy (as measured at the Interconnection Point) equals the Usable Discharge Energy Capacity for the applicable Agreement Year (an “Equivalent Cycle”).

Resource Provider shall make the Facility available for 365 Equivalent Cycles in each Agreement Year.

Degradation

Annual $D^{\max}$ Degradation Rate: 0% per Agreement Year

Annual $C^{\max}$ Degradation Rate: 0% per Agreement Year

Annual Storage Degradation Rate: 0% per Agreement Year

Annual Duration Energy Degradation Rate: 0% per Agreement Year

ANNEX E

APPENDIX S

FORM OF CONDITIONS SUBSEQUENT CERTIFICATE

CONDITIONS SUBSEQUENT CERTIFICATE

Date: [•]

Agreement: [•] [NTD: Insert contract number and title.]

From: Puerto Rico Electric Power Authority (“PREPA”)

To: Clean Flexible Energy LLC (“Resource Provider”)

We refer to the Energy Storage Services Agreement dated [•] between PREPA and Resource Provider (the “ESSA”). Unless the context otherwise requires, capitalized terms used in this Conditions Subsequent Certificate shall have the meanings ascribed to them in the ESSA.

 Resource Provider hereby certifies and confirms to PREPA that Resource Provider has satisfied all of its Conditions Subsequent under the ESSA, including mutual conditions. By signature below, PREPA likewise certifies and confirms to Resource Provider that PREPA has satisfied all of its Conditions Subsequent under the ESSA, including mutual conditions.

We hereby certify that the Satisfaction of Conditions Subsequent occurred on [•].

Very truly yours,

Acknowledged and agreed,

Clean Flexible Energy LLC
as Resource Provider

Puerto Rico Electric Power Authority
as PREPA

[•]

[•]